EFFECTIVE MANAGEMENT OF BUSINESS PROCESSES IN AN ORGANIZATION

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RESUME

The relevance of this research topic is determined by the following: numerous factors, both internal and external, have made continuous improvement vital in today's markets. First, the efficiency of many processes tends to decline over time if not continually maintained. Second, if an organization isn't improving the quality of its services, you can be sure its competitors are. Third, modern consumers are becoming increasingly demanding. Meeting these demands is imperative. The level and quality of supplies are improving daily. This inevitably leads to rapidly rising consumer expectations. Exceeding expectations isn't always possible, but it is worth striving for.

In this context, a company's competitiveness is enhanced by its ability to better understand current market conditions, analyze and anticipate future operating conditions, respond to environmental changes, and ensure its internal organization meets market demands. Moreover, change is not viewed as an exceptional phenomenon: the need for it arises uncontrollably and is not dependent on the management methods used by the enterprise, but is dictated by the accelerated pace of modern life and the changing environment. Therefore, a company seeking to survive or improve its market position must continually improve its production technologies and business process management.

Keywords: Efficiency of business processes, enhancement of service quality, supply levels, consumer expectations, and advancements in production technology.

INTRODUCTION

The subject of this study is improving business process management at an enterprise.

The purpose of this study is to examine the theoretical and methodological aspects of business process organization and to develop recommendations and a mechanism for optimizing core business processes, thereby enhancing the management system at the enterprise under investigation.

The objectives of this study are: a) to analyze the nature and content of effective business process management at an organization; b) to summarize the principles and modern approaches to business process management at an organization based on reengineering and engineering.

The theoretical basis for this study is the work of economists and specialists in this field.

DISCUSSION

A business process is a set of activities, comprising various types of actions, aimed at creating a product or service that maximizes customer value while optimizing the company's overall performance. For a clearer picture, business processes are represented using a business process flowchart. Each business process must have an owner, or in other words, someone responsible for it.

The phrase "business process" itself has been widely used since the early 1990s by the founders of business process reengineering (Hummer, Champy, Davenport, and others). Previously, the term "process" was used to define it (primarily in quality management systems). There are numerous definitions of the terms "process" and "business process." Experts in the field of process management and business processes rarely interpret the term "process" literally; instead, they creatively rephrase it according to their own perspective, incorporating a significant subjective component into the definition. In modern textbooks, the terms "process" and "business process" have the same meaning, but there are at least two ways they are used together:

- ***The first way*** considers the terms "process" and "business process" to be identical and interchangeable;
- ***The second way*** proposes a distinction between the concepts of "processes" and "business processes."

There are three types of business processes:

1. Management business processes – these are processes that encompass the entire range of management functions, from each specific business process to the overall management system. This includes strategic enterprise planning, environmental management, and operational process management.

2. Operational – these are business processes that comprise the company's core business and generate the primary revenue stream. These include sales, shipping, planning, settlements, and summarizing.

3. Supporting – these are business processes that support operational processes. These include accounting and balance sheet preparation, personnel and information management, quality control and assurance, etc.

A business process begins with a customer request and ends with its satisfaction. It is divided into several subprocesses, each with its own characteristics, but all aimed at achieving the primary business process's goal.

Business processes must be designed to create value for customers while significantly eliminating any unnecessary or redundant activities. Properly designed business processes should increase output value and profitability.

The traditional approach to enterprise management is to view it as a collection of various departments. However, it's more accurate to view an enterprise as a collection of business processes.

This is explained by the following:

❖ Each process has a customer, and focusing on each process contributes to the best possible satisfaction of customer needs.

❖ Creating value in relation to the final product;

❖ Defining the boundaries of the process under study will allow for better interaction and understanding of the customer requirements and needs that must be met.

❖ By assigning process owners/process responsibilities, it is possible to avoid distributing responsibility across fragments (parts), which often occurs in specialized enterprises;

❖ Proper process management makes it possible to create favorable conditions for monitoring the execution time of work.

A process is a set of actions performed in a specific order to achieve a desired result. A method is most fully understood as a holistic sequence of interrelated actions that transform inputs into outputs. Each process must have a supplier and a customer.

Next, let's consider the concept of a business process. A business process is an action whose input is one or more resources, which are processed according to rules by enterprise personnel, a computer, or another tool, resulting in the creation of a product required by the customer. Business processes help achieve greater enterprise efficiency because they focus on customer needs. Therefore, it's crucial to enhance the importance of the business process and align its various functions with it. Figure 1 illustrates the sequence of events in full.

Thus, the functional and process-based approaches to structuring an organization create duality and

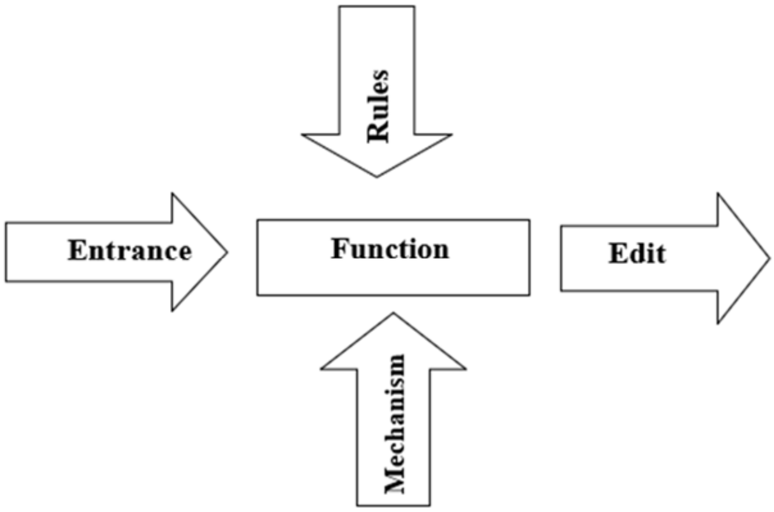

Figure - Business process diagram

lead to contradictions between the organizational structure and the organizational objectives:

1. The boundaries between them represent insurmountable barriers, and employees are required to remain within them at all times.
2. Communications across boundaries are limited, and employees of structural units must fulfill only those requirements that fall within their area of responsibility.
3. Each structural unit strives to increase its sphere of influence and the scope of its authority while simultaneously optimizing its own performance indicators. The existence of these problems and the need to address them has led to the current definition of an organization being understood not as a set of structural units, but as a set of its business processes:
4. Each process has a customer, and focusing management's attention on each process contributes to better satisfying their needs;
5. Processes ensure value creation (in relation to the products created).
6. Defining the boundaries of the process under consideration, as well as the "suppliers" (input) and "consumers" (output), enables better interaction and understanding of the needs to be met both within the organization and in the external environment;
7. Managing a holistic process, which involves multiple structural units rather than individual units, reduces the risk of improving one part of the system at the expense of others.
8. Assigning process owners avoids the diffusion of responsibility that often occurs in specialized enterprises.
9. Process management allows for the justification of work completion times and the volume of required resources, which improves control effectiveness.
10. The process approach requires continuous improvement of the organization's core and supporting business processes, because:

1) The performance of many processes tends to decline over time if not continually maintained. This means that a certain amount of production maintenance work is required to maintain current standards. However, the current pace of scientific and technological development requires significant efforts to improve and update.
2) direct potential competitors are making enormous efforts to strengthen their market positions;
3) The quality of resources used is constantly improving, which, in turn, leads to rapidly rising customer expectations, requiring the organization to improve and increase its value proposition continually.

The process of improving business processes involves combining continuous improvement with qualitative breakthroughs. An organization operating on the principles of constant improvement creates the preconditions for breakthrough changes (innovations).

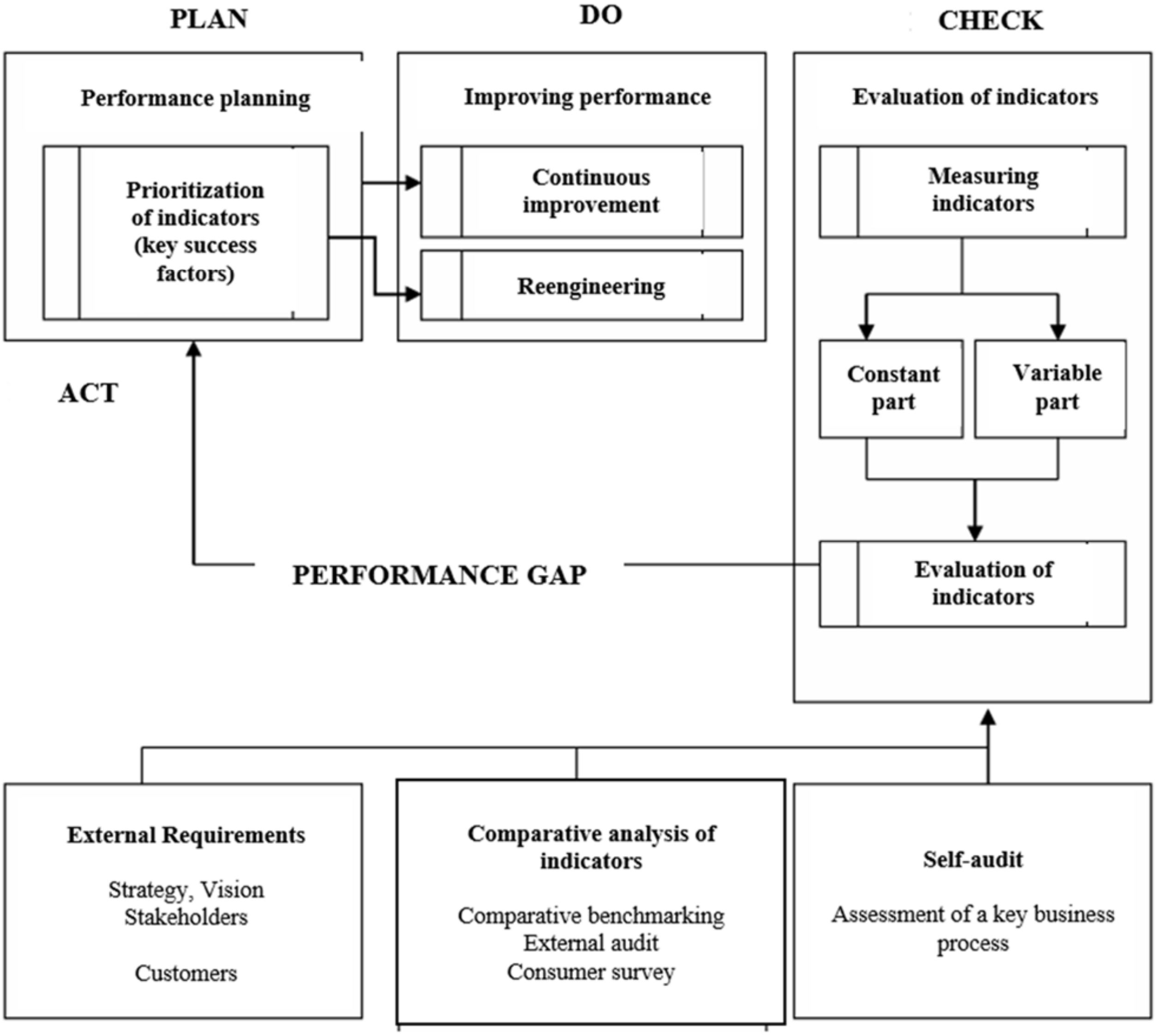

Figure 1. General model of business process improvement

The general business process improvement model developed by the Bredrups as part of the TORR research project is based on the Deming cycle – PDCA (plan, do, check, act) - which incorporates feedback and continuous improvement. The main stages of the business process improvement model are presented in Figure 1. The top of this diagram illustrates a section of the cyclical improvement process, comprising the phases of improvement, planning, performance evaluation, and implementation. It is challenging to pinpoint where the cycle begins, as it is endless and has no discernible beginning or end. At the bottom of the diagram, the data needed to evaluate these indicators is clearly visible. Following this, a description of the actions occurring within the improvement process is provided.

The first phase is the performance evaluation phase, which assesses the performance of these indicators. Current indicators change with the start of the improvement process. The results obtained form the basis for planning this process. In subsequent cycles of this process, the performance evaluation phase helps determine the success of the implemented improvements. After the cyclical process has been initiated, the results of the changes can be clearly seen and compared to previous data after each rotation. This provides a clear understanding of whether the implemented improvements were practical and what their ultimate results will be. This will help draw the correct conclusions for planning the next improvement cycle.

The planning phase enables analysis and prioritization based on processes that require improvement. The primary outcome of this phase of the improvement process is the development of a value scale for areas requiring intervention and improvement. An essential element of this phase is defining organizational responsibility for planning and improving performance indicators.

The active phase of the process is the next element of performance improvement. During this phase, implementation occurs in accordance with the previously compiled rating. It does not indicate how improvements can be achieved. However, when analyzing the process, it's essential to understand that both minor, incremental improvements and larger-scale breakthroughs can contribute to the final result. Once a cyclical process of continuous improvement is launched, the results of improvement initiatives will be measured during the performance evaluation phase. If the innovations prove to be producing positive, qualitative results during the implementation phase, the improved processes should be defined as the new standard.

In the overall process of improving business processes, several key areas are identified in which improvement and refinement activities are organized. Top management must assume responsibility for evaluating key performance indicators at the upper level.

It is the responsibility of senior management to assume full responsibility for prioritizing improvement efforts. This is especially important for large companies and high-cost projects.

At the same time, sole accountability must be ensured. Individual improvement projects are implemented more effectively when a dedicated team is established; however, specialized groups can also be formed to address ongoing improvement challenges. Mapping the process flow and developing the subsequent process flowchart, like other process documentation tasks, should be conducted by a group comprising the key participants in the process being examined. This group may include the team leader, the process owner, and process customers and suppliers. Their role is to refine, guide, and adjust the documentation process until mutual agreement is reached on how the process actually operates. A standard flowchart illustrates the sequence of events in the process. An inter-functional flowchart helps identify who performs each action and which functional department the performers belong to (Figure 2).

Organizations transition to a process-oriented approach through the complete documentation of all processes, or through a gradual process that occurs as all the features of new improvement projects are approved and accepted. The primary challenge for organizations is that people are accustomed to and comfortable working within departmental structures, but few are willing to take responsibility for organizing these processes.

There's generally a poor understanding of where one process ends and another begins. Few are willing to accept responsibility for delivering the product or service within the process to the customer on time and with the required quality. Most often, one person initially assumes responsibility for the process, which is then gradually redistributed among several people. In this example, we see that individual process segments are managed, but no one has full responsibility for the process as a whole. This is the distinctive characteristic of a process without an owner. As a result, there is no opportunity to implement process improvements, as clear instructions from the owner/manager are required for this. Assigning a process owner by designating specific employees as "business process owners" within an organization implies the following level of responsibility:

- the process owner is granted full authority to initiate changes to the process at their own discretion;
- the process owner is responsible for ongoing control and monitoring of the process;

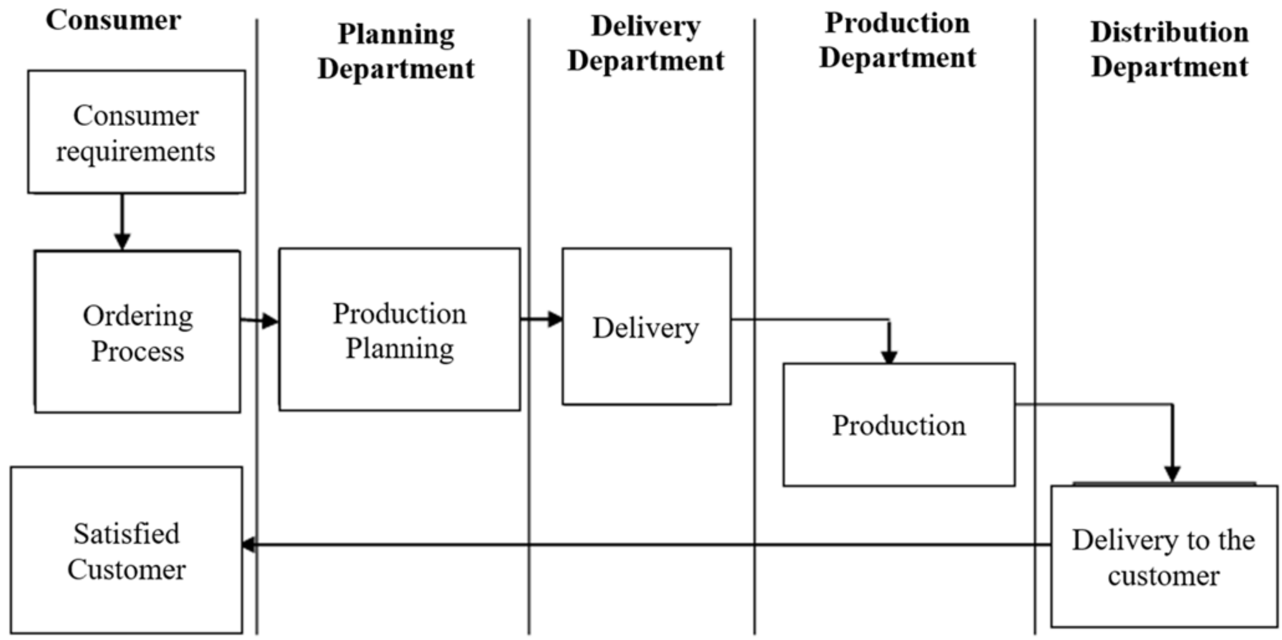

Figure 2. Example of an inter-functional flowchart of a business process

- the process owner is responsible for initiating process improvements;
- The process owner is responsible for creating an initiative group consisting of employees who address specific process improvement tasks.

After implementing process orientation and designating owners, the organization's structural form assumes a distinct appearance. The diagram no longer displays both vertical and horizontal relationships. Two options exist:

1) A flowchart highlighting only structural units (Fig. 3);
2) A flowchart highlighting only processes (Fig. 4).

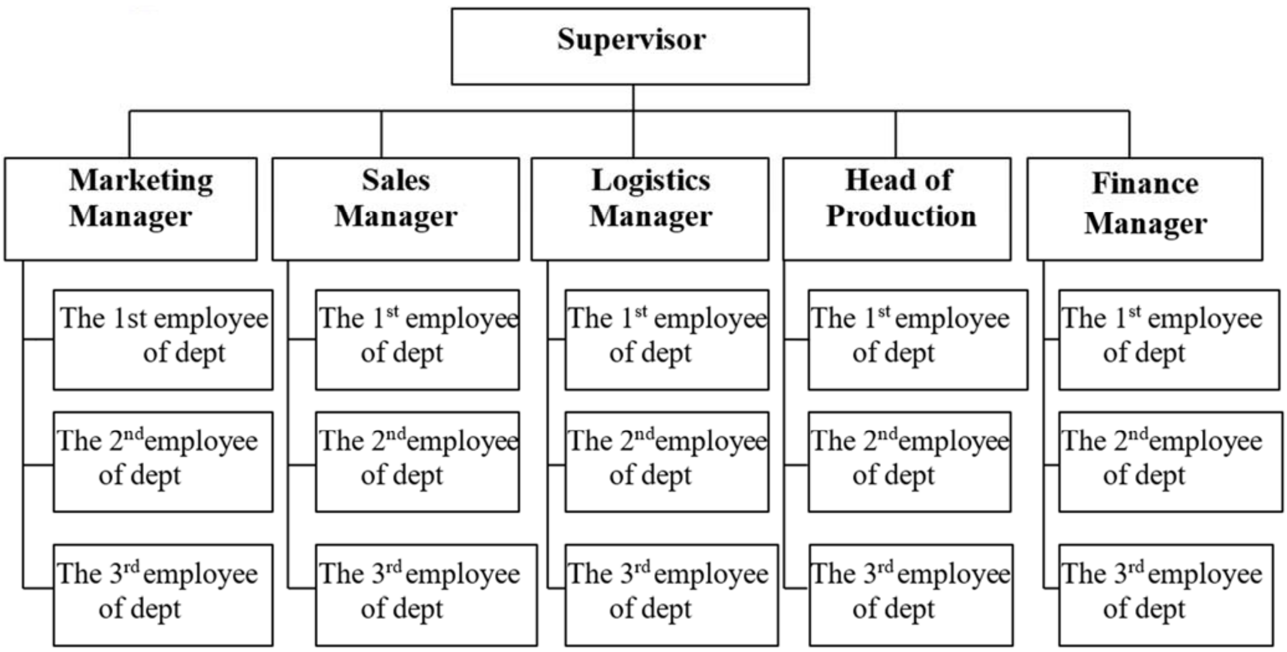

Figure 3. Block diagram with only structural units highlighted

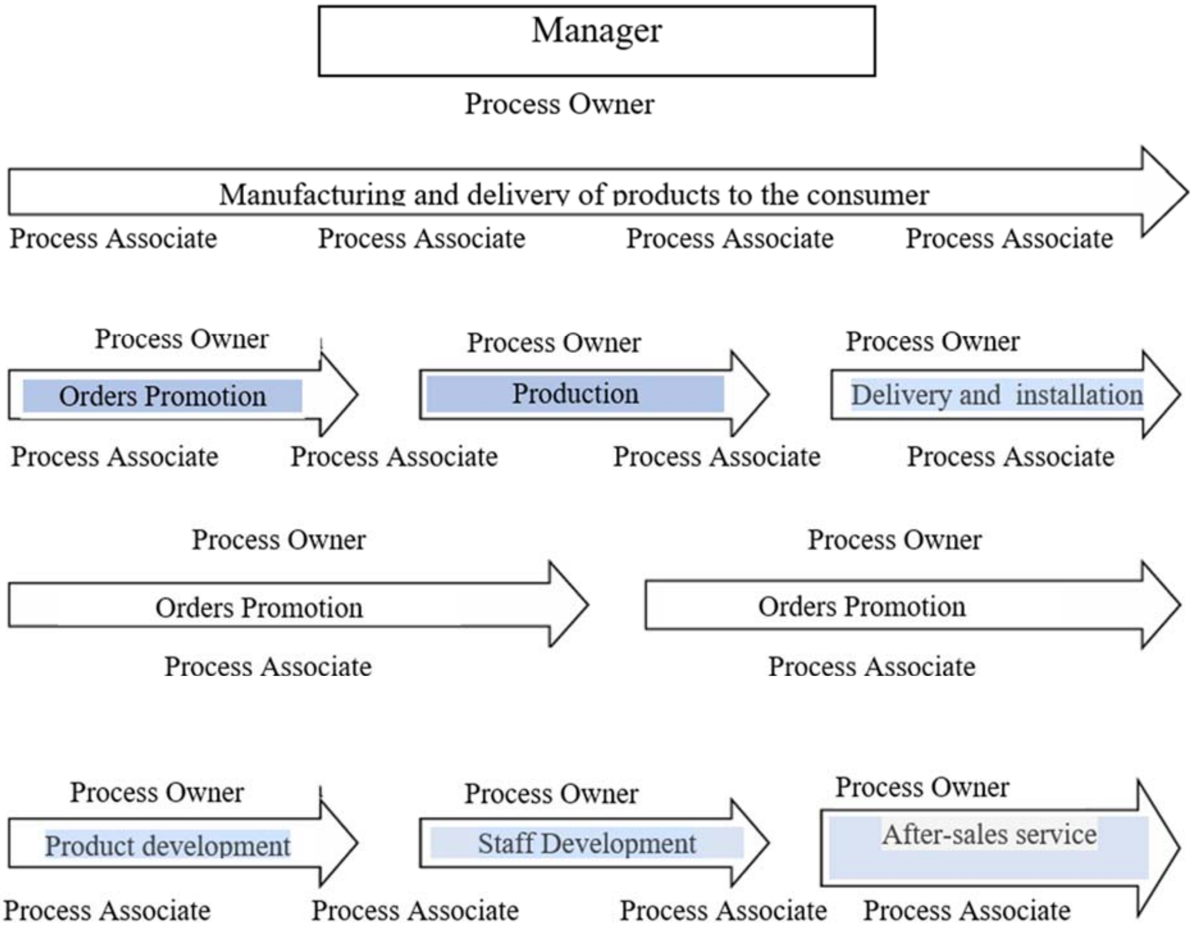

Figure 4. Block diagram with only processes labeled

In the management of Georgian companies, several negative phenomena have been identified during the implementation of system improvement projects, including:

1) Duplication of functions;
2) Hidden conflicts of interest between owners and top managers;
3) Lack of basic knowledge of organizational economics and the lack of competence in applying management and marketing tools among most Georgian managers, despite their strong management experience.
4) A lack of a system for improving organizational performance at all levels. Employees who are uninterested in improving their own performance and that of the organization are a common occurrence.
5) Implementation of information systems without a thorough preliminary analysis of the need for them often results in the automation of processes that are ineffective and in need of improvement.

CONCLUSION:

1. Business processes are the foundation of effective enterprise management.
2. Each company may have its own set of processes.
3. A business process is a chain of actions performed in a specific order.
4. A business process has a beginning and an end.
5. A business process begins with customer demand and ends with its satisfaction.
6. The input to a process is resources that are converted into a product or service for the consumer.

7. A business process requires an owner or proprietor.
8. The owner of a business process bears full responsibility for the processes within the process.
9. The process must repeatedly and consistently deliver a product of consistent quality.
10. Every organization has at least several dozen business processes. These processes must be constantly structured, optimized, and improved.

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ბიზნეს პროცესების ეფექტური მართვა ორგანიზაციაში

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რეზიუმე

საკვლევი თემის აქტუალობა განაპირობებულია როგორც შიდა, ასევე გარე მრავალრიცხოვანი ფაქტორით, რის გამოც დღევანდელ ბაზრებზე უწყვეტი გაუმჯობესება სასიცოცხლოდ მნიშვნელოვანი გახადა. პირველ რიგში, მრავალი პროცესის ეფექტურობა დროთა განმავლობაში მცირდება, თუ მუდმივად არ ვზრუნავთ მის შენარჩუნებაზე. მეორეც, თუ თავისი მომსახურების ხარისხს ორგანიზაცია არ აუმჯობესებს, შეგვიძლია დარწმუნებით ვთქვათ, რომ ამას მისი კონკურენტები გააკეთებენ. მესამე, თანამედროვე მომხმარებელი სულ უფრო მომთხოვნი ხდება. ამ მოთხოვნების დაკმაყოფილება აუცილებელია. მარაგების დონე და ხარისხი ყოველდღიურად უმჯობესდება. ეს გარდაუვლად იწვევს მომხმარებელთა მოლოდინების სწრაფ ზრდას. მოლოდინების გადაჭარბება ყოველთვის არ არის შესაძლებელი, მაგრამ ამისკენ სწრაფვა ნამდვილად ღირს. ამ კონტექსტში, კომპანიის კონკურენტუნარიანობა იზრდება მისი უნარით, უკეთ გაიგოს მიმდინარე საბაზრო პირობები, გააანალიზოს და განჭვრიტოს მომავალი ოპერაციული პირობები, უპასუხოს გარემოს ცვლილებებს და უზრუნველყოს, რომ მისი შიდა ორგანიზება აკმაყოფილებდეს ბაზრის მოთხოვნებს. უფრო მეტიც, ცვლილება არ განიხილება, როგორც გამონაკლისი ფენომენი: მისი საჭიროება უკონტროლოდ ჩნდება და საწარმოს მიერ გამოყენებულ მართვის მეთოდებზე კი არ არის დამოკიდებული, არამედ თანამედროვე ცხოვრების დაჩქარებული ტემპითა და ცვალებადი გარემოთია განპირობებული. ამიტომ, კომპანიამ, რომელიც ცდილობს გადარჩეს ან გააუმჯობესოს თავისი საბაზრო პოზიცია, მუდმივად უნდა სრულყოს თავისი საწარმოო ტექნოლოგიები და ბიზნეს პროცესების მართვა.

საკვანძო სიტყვები: ბიზნეს პროცესების ეფექტურობა, მომსახურების ხარისხის გაუმჯობესება, მიწოდების დონე, მომხმარებლის მოლოდინები და წარმოების ტექნოლოგიების განვითარება.